Conference Call Notes: Indonesia update

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Indonesia update

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Short-term trajectory:
Long-term trajectory:

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President Prabowo Subianto is not immediately threatened by the wiretapping scandal or military deployment, but tensions with former president Joko Widodo (Jokowi) are worsening and will drive further personnel and political turbulence in the near term.
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The deployment of navy and marines—not the army—is notable and may relate to the navy's stronger public image and possible army trust issues, and does not indicate an imminent coup or martial law scenario.
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The 2029 election is already shaping current political maneuvering; stability watchpoints include the position of Vice President Gibran Rakabuming Raka (Jokowi's son), coalition cohesion, protests, and any moves toward scrapping direct presidential elections.

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Speaker:

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Peter Mumford, Practice Head, Southeast Asia

State of Play: What Triggered This

Former police chief and (for one month) presidential chief of staff Listyo Sigit Prabowo was arrested alongside two senior officers on accusations of wiretapping the president during 2025-2026. Prabowo formally sacked Listyo following the arrest. Listyo is closely associated with Jokowi, who appointed him police chief.

Mumford identified the deepening Prabowo–Jokowi split as the central underlying dynamic. Key dimensions include:

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Jokowi allies are being progressively removed from government positions—further reshuffles are likely.
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Gibran is increasingly vulnerable. A recent court case did not remove him but raised questions about his high school diploma and eligibility to have stood in the last election.
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Mumford flagged that some in the Jokowi camp may actually prefer Gibran to resign from the vice presidency, calculating that distance from Prabowo could benefit a possible run in 2029.
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There is also possible factional infighting within the police—the wiretapping revelation may reflect the new police leadership moving to weaken Listyo's residual influence. Newly appointed Police Chief Suyudi Ario Seto has been in the role for only one month.

The Military Deployment: Significance and Limits

Over 20,000 military personnel were deployed to Jakarta, drawn notably from the navy and marines rather than the army. Mumford identified three possible explanations: (1) the navy and marines have traditionally had a better public reputation and are seen as more neutral; (2) the navy chief is reportedly close to the president, though Mumford flagged this as contested; and (3) the army was not used due to possible concerns about divisions within it. He noted that if martial law or, conversely, coup were being planned then the army would be more prominent, rather than navy and marines. No further military escalation beyond the initial deployment is currently observed. Streets in Jakarta are broadly calm.

The military deployment is nevertheless startling. It could partly reflect Prabowo’s desire for a contained show of force, or genuine concerns that Listyo’s arrest could trigger unrest—given his residual influence. Jokowi's court appearance today for a case relating to allegations of having a falsified university degree certificate may have been a factor in security decisions too.

Threat Assessment: Coup, Martial Law, Coalition Collapse

On all three scenarios, Mumford's assessment is: low risk for now.

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Coup risk: Prabowo retains support from key military commanders. Army divisions are a watchpoint but do not constitute a credible threat.
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Martial law: Not anticipated. A more likely scenario under widespread unrest would be localized security tightening, not nationwide curfews or sweeping martial law.
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Coalition collapse: Jokowi allies may be gradually eased out, but parliamentary arithmetic does not immediately shift. Most coalition parties, including the Democrat Party, led by Agus Harimurti Yudhoyono—the son of former president Susilo Bambang Yudhoyono (SBY)—are remaining loyal to Prabowo. SBY made public remarks that were diplomatically pointed but not an open rebuke.

2029 Election Positioning: Already Underway

Political maneuvering for the 2029 presidential election is already shaping current decisions. A key watchpoint will be Jokowi's efforts to build his own political vehicle.

Mumford noted that scrapping direct presidential elections—reverting to parliamentary selection—remains a tail risk rather than a base case, but chatter persists and could intensify if Prabowo's approval ratings (currently around 50%, down from ~80% at the start of his term) do not recover.

Policy Outlook: Broadly Unchanged, Nationalist Tilt Intensifying

Trade reform and deal-making are not expected to be derailed. Indonesia continues to pursue EU FTA ratification, CPTPP membership, and OECD accession. Key reform driver Airlangga Hartarto's position appears secure. Finance Minister Suahasil Nazara is viewed more as a technocrat than a Jokowi loyalist. Mumford noted nationalist sentiment is intensifying—reflected in rhetoric around energy export curbs toward Singapore and the reaction to the MSCI downgrade threat—with economic growth and food and energy security remaining the government's top stated priorities.

Key Watch Items

1.
Gibran's position: Whether pressure leads to impeachment proceedings or a negotiated resignation, and how the former scenario affects Prabowo's standing given they were elected on a joint ticket.
2.
Wiretapping case expansion: Whether additional figures close to Prabowo—or linked to Jokowi—are drawn into the investigation.
3.
Coalition cohesion: Whether Democrat Party or other coalition members reassess loyalty, particularly as positioning ahead of the 2029 election intensifies.
4.
Direct election reform: Any legislative movement toward scrapping direct presidential elections ahead of 2029—a potential major protest trigger.
5.
Protest escalation: Size and character of demonstrations around Heroes Day (next week) and in response to the Jokowi court case; watch for security force responses that could inflame unrest.
6.
Key personnel: Any further reshuffling of Jokowi-aligned ministers.

What Clients Are Asking

Base case for Prabowo's stability: Prabowo is unlikely going anywhere in the near term; the base case is continued Prabowo-Jokowi friction, further personnel reshuffles, and possible additional figures drawn into the wiretapping case.

Probability of reverting to indirect presidential elections: Mumford characterized it as a watchpoint rather than a base case, noting that the prospect of significant and possibly violent public protests remains a meaningful guardrail against that move.

Gibran impeachment: Mumford noted that pressure on Gibran is growing. He assessed that the preferred outcome for many in Prabowo's circle would be a voluntary resignation rather than formal impeachment, given the complications of removing one half of a jointly elected ticket.

Whether the wiretapping scandal is fabricated: Mumford said most local contacts consider wiretapping plausible and not unprecedented in Indonesia, and that Prabowo himself has previously raised concerns about being tapped.

Impact on reform agenda and trade policy: Mumford assessed that trade deals (EU FTA, CPTPP accession) are not being put on ice, and that key reform personnel remain in place. The primary policy shift is a more pronounced nationalist tone, not a reversal of the reform agenda, though this will be a watchpoint if the political environment further deteriorates.

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